
MEMORANDUM

TO: City of Cheyenne Governing Body
FROM: Robin Lockman, City Treasurer
DATE: July 21, 2021
SUBJECT: Resolution Authorizing One-Time Payment for City Employees

On July 26, 2021, the Governing Body will be referring a resolution to the Finance Committee for consideration of a one-time payment of up to \$5,000 to be given to all City of Cheyenne full-time and permanent part-time employees. Excluded from this are elected officials and employees of the separate Board of Public Utilities.

As indicated on the included graph, the City will receive a total of \$12,191,813 from the Coronavirus State and Local Fiscal Recovery Fund of the American Rescue Plan (ARP). I have also included on this graph the five eligible uses of the funds, including essential employee premium pay.

Another eligible use of ARP funds is the replacement of lost public sector revenue. Governments have broad latitude to use this funding to ensure that fiscal austerity measures do not hamper government services. I have calculated the City's revenue recovery and am estimating a total of \$3,595,102, 65% of which is for the Civic Center, Ice and Events Center and Recreation Programs Fund. The remainder, or \$1,243,902, is available for any allowable use, including these one-time payments.

I have worked with Department Directors to categorize all City employees, based on the U.S. Treasury Interim Rules, as either essential or non-essential. As you know, because of budget shortages in Fiscal Years 2020, 2021 and 2022, City employees, for the most part, have not received a salary increase for nearly three years. Furthermore, in last year's budget City employees either lost their longevity pay or received a salary decrease. The one-time payments will help address these inequities as well as the City's current struggle in hiring and retaining employees.

The one-time payment, including payroll taxes, will be disbursed as follows:

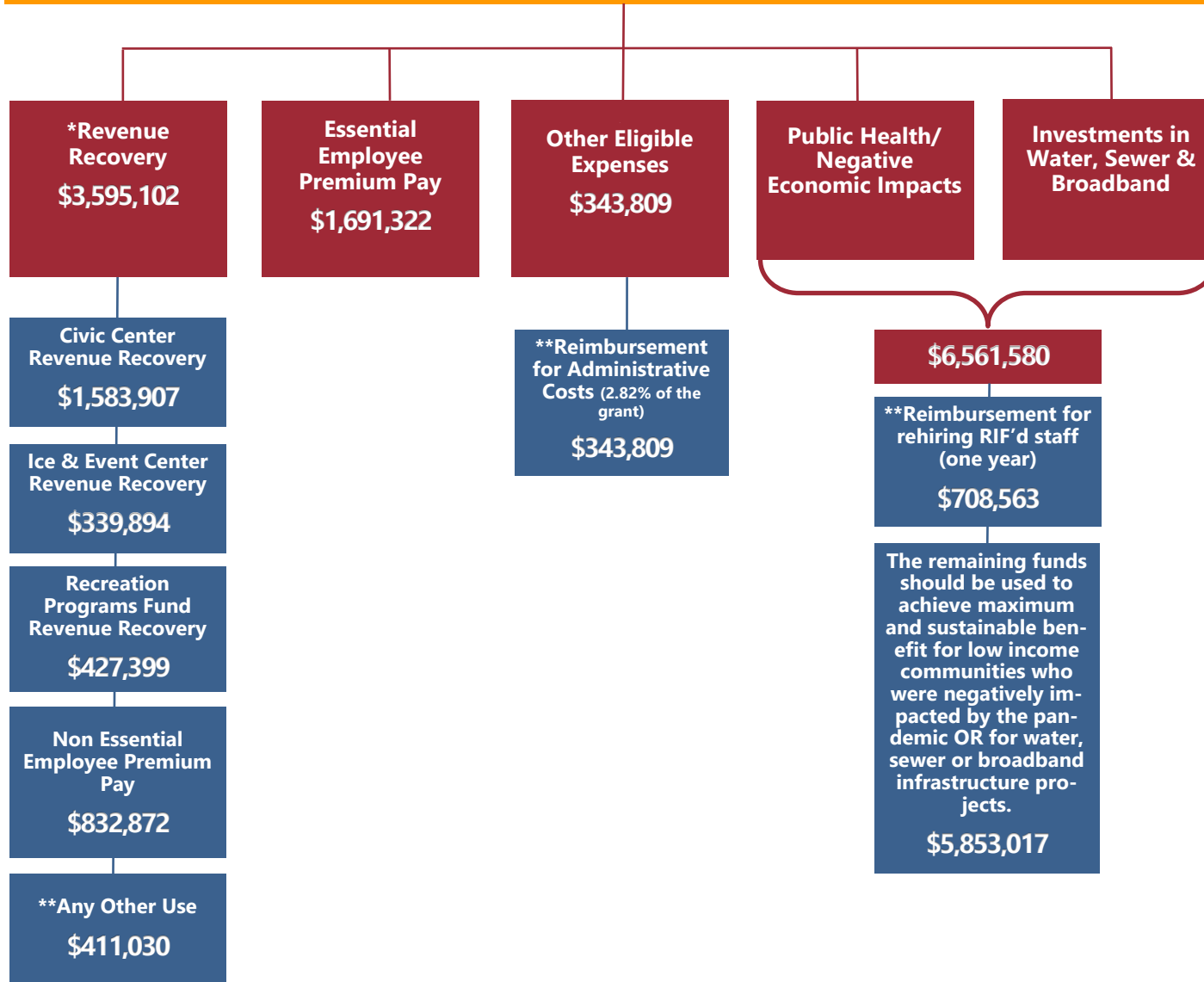
- \$1,691,322 for employees who are defined as essential and will be paid for by the "Providing Premium Pay for Essential Workers" section of the ARP.
- \$832,872 for those employees considered non-essential to be paid for by the "Replacement of Lost Public Sector Revenue" section of the ARP.
- \$339,316 to be paid by other City funds (as indicated in the resolution).

As always, if you have any questions, please give me a call at 637-6336 or email at rlockman@cheyennecity.org.

City of Cheyenne

American Rescue Plan Allocation

\$12,191,813



*Please note that MHP, LLP will be retained to confirm revenue recovery estimates.

**These funds are available to use for any governmental purpose except paying debt, reimbursing pensions, satisfaction of settlement agreements/ judgements on lawsuits, or replenishing financial reserves

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION AUTHORIZING A ONE-TIME PAYMENT GIVEN TO FULL-TIME AND PERMANENT PART-TIME EMPLOYEES OF THE CITY OF CHEYENNE (EXCLUDING ELECTED OFFICIALS AND EMPLOYEES OF THE CHEYENNE BOARD OF PUBLIC UTILITIES) FROM FUNDS RECEIVED FROM THE CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUND ESTABLISHED BY THE AMERICAN RESCUE PLAN ACT OF 2021.”

WHEREAS, the Coronavirus State and Local Fiscal Recovery Fund, established by the American Rescue Plan Act of 2021, was created to address the public health emergency that began in January of 2020; and

WHEREAS, the Coronavirus State and Local Fiscal Recovery Funds provide local governments with a substantial infusion of resources to respond to the public health emergency, replace lost public sector revenue, provide premium pay for essential workers, and invest in water, sewer, and broadband infrastructure projects; and

WHEREAS, on May 18, 2021, the City of Cheyenne received fifty percent (50%) of its total allocation, or \$6,095,906.50, from the United States Department of Treasury, with the balance to be delivered in May of 2022; and

WHEREAS, the City of Cheyenne’s employees have faced heightened risks because of the public health emergency and have put their physical well-being in jeopardy to meet the daily needs of their communities and to provide care for others; and

WHEREAS, employees of the City of Cheyenne have also faced negative economic impacts caused by the public health emergency, including wage reductions and elimination of longevity pay; and

WHEREAS, the City of Cheyenne’s Governing Body wishes to provide a one-time payment of \$5,000.00, subject to federal withholding requirements, to each current full-time employee, excluding elected officials and those employed by the separate Board of Public Utilities, who are employed by the City on June 30, 2021. Full-time employees who were hired on or after July 1, 2020 will receive a pro-rated amount of the payment, depending on which month their employment began with the City; and

WHEREAS, the City of Cheyenne’s Governing Body also wishes to provide a one-time payment to each permanent part-time employee, subject to federal withholding requirements. Permanent part-time employees will receive a prorated amount of the one-time \$5,000.00 payment, based on a percentage of the total number of regular hours worked from July 1, 2020 to June 30, 2021; and

WHEREAS, on June 30, 2021, the City of Cheyenne has 325 full-time essential employees and 22 part-time essential employees, defined by the Interim Final Rule, 31 CFR Part 35, issued by the United States Department of Treasury. Employees meet this definition whose work involves regular in-person interactions or regular physical handling of items that were handled by others and include, but are not limited to, custodians, sanitation workers, public health and safety staff, transit staff, childcare workers, and social services and human services staff; and

WHEREAS, these essential employees qualify to receive a premium payment from the Coronavirus State and Local Fiscal Recovery Funds; and

WHEREAS, the Governing Body also wishes to recognize the remaining 207 full-time and 146 permanent part-time employees who do not qualify as an essential employee as defined by the Coronavirus State and Local Fiscal Recovery Funds Interim Final Rule, by providing the same one-time payment as described above; and

WHEREAS, payment for the employees that do not qualify as essential employees will be made from the replacement of lost public sector revenue portion of the Coronavirus State and Local Fiscal Recovery Funds. Governments have broad latitude to use these revenue recovery funds to support government services; and

WHEREAS, eight City funds do not qualify to receive revenue recovery funds, including the Weed and Pest Fund, CDBG Fund, One Percent Tax Fund, Solid Waste Fund, Transportation Planning Fund, Transit Fund, Special Purpose Option Tax Fund, and Fleet Maintenance Fund. Therefore, these funds will cover the one-time payment for their own employees.

NOW, THEREFORE BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that all current full-time and permanent part-time employees, on a pro-rata basis, who are employed on June 30, 2021, are eligible to receive the one-time \$5,000.00 payment, subject to federal withholding requirements, excluding elected officials and Cheyenne Board of Public Utilities employees. To receive the one-time payment, qualifying employees must be actively employed with the City of Cheyenne on the date these checks are issued.

PRESENTED, READ AND ADOPTED this _____ day of _____, 2021.

Patrick J. Collins, Mayor

(SEAL)

Attest:

Kristina F. Jones, City Clerk